C E N T R A L P A R K I N V E S T O R S

P R I V A T E I N V E S T M E N T A N D A S S E T M A N A G E M E N T

C A L I F O R N I A C L O S E T S : C O M M E R C I A L D I S P U T E

FORMAL NOTICE OF UNRESOLVED INSTALLATION DISPUTE

This document serves as a factual summary of an ongoing dispute related to the installation of two custom California Closets systems at an investment unit within the residential section of the Thompson Hotel – Central Park in New York City. Multiple documented concerns, initially reported to the assigned designer and later escalated to management, include unresolved electrical and safety conditions, installation defects, measurement inaccuracies, and prolonged remediation delays. Certain conditions were subsequently identified by the New York City Department of Buildings as violations. Collection activities continued while the underlying dispute remained unresolved.

PRINCIPAL COMPANY REPRESENTATIVES

California Closets, 1629 York Ave., New York, NY 10028
California Closets, 26 Varick St., New York, NY 10013

Brian Trainor, CFO
Meagan Trainor, Sales Manager
Fara Brickner, Designer
Joshua Shelley, Assistant Controller

EXECUTIVE SUMMARY

A custom residential installation project involving California Closets resulted in multiple conditions inconsistent with the approved design and functional requirements, including obstructed electrical access, exposed electrical components, measurement inaccuracies, hardware failures, and reported electrical and heat-related concerns.

Over the course of several months, these conditions were repeatedly documented and reported to the assigned designer, who served as the primary project contact. As response and remediation efforts stalled, the matter was escalated to sales management and executive leadership. Despite multiple inspections, repair discussions, and opportunities to correct the installations, the primary conditions remain unresolved.

Because the property is held for rental and investment purposes, the unresolved conditions and delayed remediation impaired market readiness and delayed rental opportunities.

The company later proposed removal of the installations and a refund. After revised liability terms inconsistent with prior written assurances were declined, that proposal was withdrawn. Collection efforts continued while the underlying breach of contract dispute remained unresolved.

1. INSTALLATION DEFECTS AND DIMENSIONAL FAILURES

Post-installation review identified multiple conditions inconsistent with the approved design and functional requirements, including obstructed electrical access, misaligned access openings, exposed wiring and components, oversized gaps, fitment inaccuracies, failed opening mechanisms, and visible finish defects.

Several reported conditions were ultimately acknowledged internally as requiring removal rather than ordinary service adjustment or routine punch-list correction. Resolution discussions later shifted to proposed terms disclaiming restoration-related liability associated with removal of the defective installations.

2. UNRESOLVED ELECTRICAL AND SAFETY CONDITIONS

Repeated notice was provided regarding lighting malfunctions, flickering components, excessive heat generation near stored materials, exposed electrical components, and obstructed outlet access. Despite multiple reports and follow-up communications, these conditions remain unresolved.

3. COLLECTION EFFORTS CONTINUED DURING AN OPEN DEFECT DISPUTE

Requests for final payment continued while major installation issues remained unresolved and corrective work had not been completed.

4. PRIOR LIABILITY ASSURANCES INCONSISTENT WITH PROPOSED RESOLUTION TERMS

Before contract execution, written assurances were provided that damages directly caused during or resulting from the installation process would be covered.

After removal of the installations later became necessary, revised terms were proposed disclaiming responsibility for restoration costs associated with removal of the defective units.

5. DELAYS CREATED BUSINESS IMPACT

Because the unit is held for investment and rental purposes, unresolved conditions and delayed remediation impaired market readiness and delayed rental opportunities.

Subsequent statements suggesting that access limitations hindered remediation efforts are inconsistent with contemporaneous records reflecting ongoing coordination through property management.

RESOLUTION PATH REMAINS AVAILABLE

This matter remains capable of professional resolution through:

1. Removal of defective installations
2. Full refund of amount paid
3. Restoration of affected areas consistent with prior written assurances
4. Compensation for documented rental income disruption and related losses
5. Mutual release upon completion

SUPPORTING EXHIBITS

Exhibit A – Written Liability Assurance & Subsequent Reversal
Exhibit B – Contract Specifications vs Installed Conditions
Exhibit C – Pre-Sale Representations vs Post-Sale Results
Exhibit D – Communication Timeline & Cure Attempts
Exhibit E – Photographs of Defects and Affected Premises
Exhibit F – Email Correspondence
Exhibit G – Audio and Video Records / Transcripts (if lawful in jurisdiction)
Exhibit H – Documented Financial Impact & Business Interruption

RESOLUTION CORRESPONDENCE

Resolution-related communications may be directed to ops@centralparkinvestors.com.